

NEW KIDS ON THE BLOCK

In recent times, the diagnostics sector has emerged as a lucrative market, considering its free cash flows, attractive return ratios and potential for expansion. The interest is evident in the flurry of new entrants into the sector, including pharma companies, hospitals, start-ups, and even large conglomerates. The Adani Group, which is strong in power, energy and edible oils segments, has also forayed into diagnostics with the announcement of Adani Health Ventures that would set up, run and administer medical and diagnostic facilities and other allied activities. In August 2020, billionaire Mukesh Ambani-

Medplus also made an entry into diagnostics in March 2022 by launching its diagnostic centre in Hyderabad. Gurugram-headquartered Max Hospitals is continuously growing its diagnostic segments. And Bengaluru-headquartered Aster DM, a healthcare company, is also one of the new entrants in the sector. Aster DM operates hospitals, medical centres, diagnostic centres, laboratories and pharmacies in six GCC countries and India. "These new entrants have not only disrupted the market with tech but also resorted to aggressive discounting to acquire volume," say diagnostic industry analysts Monish Shah and Pranav Chawla

New Delhi-based Mahajan Imaging have ventured into the field of "integrated diagnostics" by combining radiology, nuclear medicine and positron emission tomography-computed tomography or PET-CT scan (an imaging test to check the metabolic or biochemical function of tissues and organs, and it can be used in cancer treatment), pathology, genomics and an AI lab, all under one roof in its latest facility in Delhi. "We believe that this concept will revolutionise treatments resulting in optimal clinical outcomes and minimal side effects," says Dr Harsh Mahajan, Founder of Mahajan Imaging. "Besides expanding the existing

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INCREASING PREVALENCE OF NON-COMMUNICABLE DISEASES, AN AGEING POPULATION AND GROWING AWARENESS OF HEALTH ARE SOME OF THE GROWTH DRIVERS OF THE DIAGNOSTICS INDUSTRY, SAY EXPERTS

promoted Reliance Industries Ltd (RIL)—through Reliance Retail—acquired majority stake in Netmeds for ₹620 crore. Tata Digital in June last year had acquired online pharmacy 1mg for a cash consideration of ₹720 crore, and then launched its own diagnostics wing.

There's more action happening in this segment. In July 2022, pharma major Lupin launched its own diagnostic lab called Lupin Diagnostics, and Ahmedabad-headquartered Torrent Pharma entered the diagnostics sector by forming Torrent Diagnostics Private Ltd, as an unlisted private company in February 2022. In June 2021, e-pharmacy chain PharmEasy acquired Navi Mumbai-headquartered diagnostics chain Thyrocare for ₹4,546 crore. Pharmacy retailer

from Antique. "Aggressive pricing is hurting the large players in their most lucrative margins business, that is, wellness."

The Credit Suisse report says that the competition is notably from large conglomerates (RIL-Netmeds, Tata-1mg, etc.) and pharma groups (Lupin, Torrent, etc.), which would likely pour in larger investments for a longer period. The competitive activity has intensified post the Covid-19 outbreak, which ushered in a few structural changes like increased home sample collection, focus on preventive/wellness packages, etc., it says. The report further states that 58 per cent of the diagnostics industry comprises pathology, and the balance is radiology.

Even unorganised players like

radiology business, we see an opportunity to grow our pathology business at a faster pace."

Diagnostic industry experts believe that increasing prevalence of non-communicable diseases and chronic conditions, an ageing population, growing awareness of health, and a mindset shift amongst consumers are some of the growth drivers of the industry. "Overall, we are set to witness an unprecedented expansion in the areas of diagnostic testing," says Dr Arjun Dang, CEO of Dr. Dang's Lab, a New Delhi-headquartered diagnostics company.

The return to the labs for diagnostic companies may not be such a bad thing after all. **BT**

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